

How investors can help finance a green recovery

Investors are pursuing green recovery opportunities, but a long-term strategy could be needed to manage market bubble concerns.



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Shape the future
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92%

of investors made an investment in the previous 12 months because they saw that target benefiting from the green recovery.

EY 2021 Global Institutional Investor Survey

When the COVID-19 pandemic struck, there was concern that it could slow investors' focus on climate change. With markets reeling from lockdown shocks, would investment managers back away from pre-COVID-19 pandemic climate change pledges?

In fact, the EY 2021 Global Institutional Investor Survey found that the COVID-19 pandemic has catalyzed the importance of climate change, with investors making the climate crisis and the energy transition central to their investment decision-making process.

Key Developments:

- The race to net zero and decarbonization are now central to investors' investment decision-making. This will likely require significant scenario analysis capability for both corporates and investors.
- Investors see a significant opportunity from efforts by national governments to drive a green recovery from the COVID-19 pandemic, but there are some concerns about a market bubble as demand outstrips the supply of opportunities in innovative new renewables solutions.
- However, there are two issues that could dampen the threat of a market bubble: first, the sheer volume of finance required to achieve renewables goals and the investment flow funding gap; second, the significant amount of funding likely required to "green the brown" by decarbonizing many industry sectors.

01

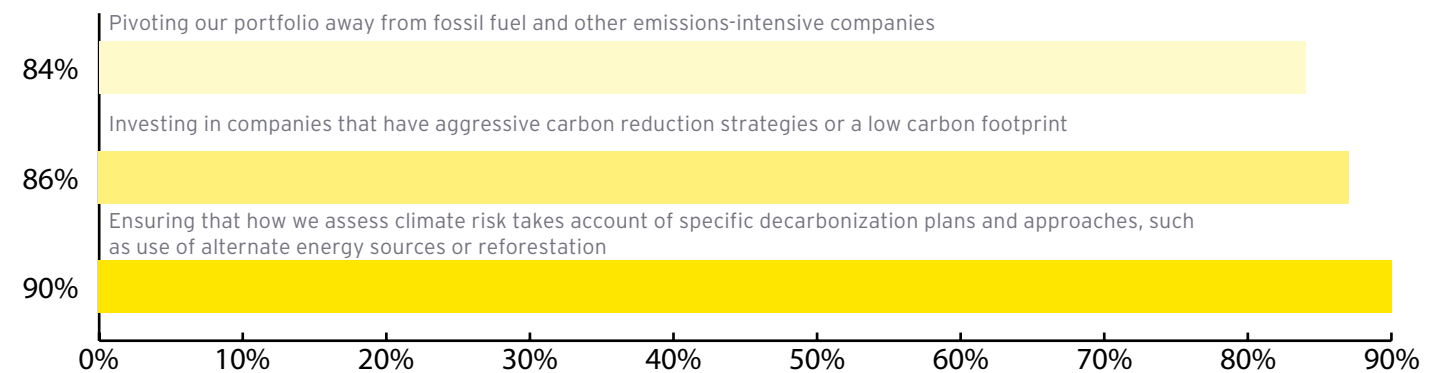
The road to net zero and decarbonization

The transition to net zero is central to investors' investment decision-making.

The race is on to get to net zero by emissions reduction, carbon sequestration and offsetting programs. The research shows the transition to a net zero world is also central to investors' investment decision-making today.

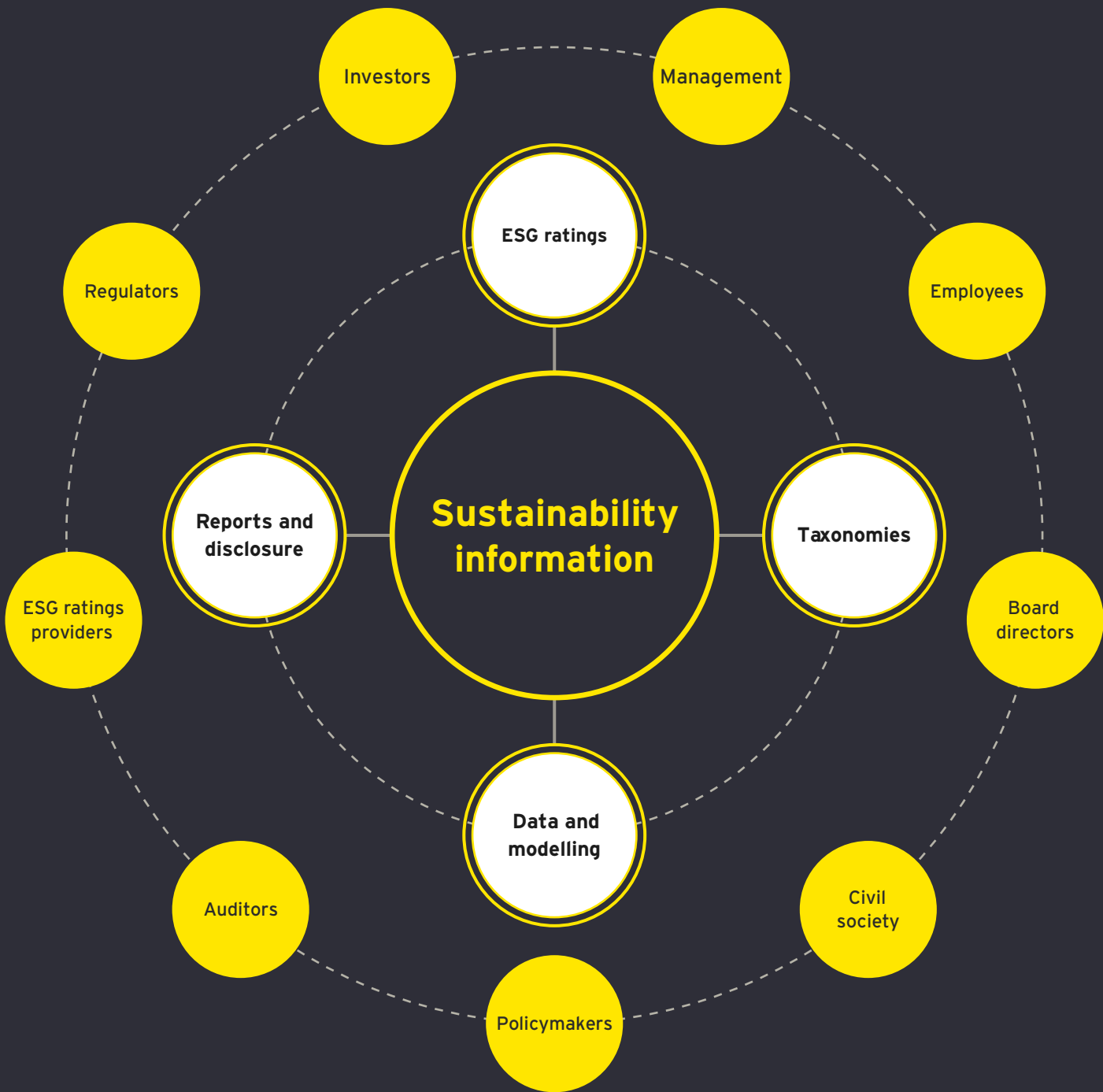
The importance of decarbonization in investment decision-making

Thinking about the role played by "decarbonization strategy" in your investment decision-making today, how important are the following factors?



Making progress on net zero and decarbonication is unlikely to be without its challenges for both corporates and investors. Companies should undertake robust scenario planning to understand the potential implications of a range of climate outcomes and stress test their risk management and strategy processes.





02

Green recovery opportunity, but market bubble concerns

Investors are actively targeting green investments, but there are concerns of a market bubble.

92% of investors surveyed made an investment in the previous 12 months because they saw that target benefiting from the green recovery.

88% of respondents say they will increasingly target green-focused investment opportunities following COVID-19, seeking opportunities resilient to global crises.

One area with significant potential is nature-based sequestration. Natural climate solutions involve conserving, restoring or better managing ecosystems to remove CO2 from the atmosphere including allowing forests to regrow, restoring coastal wetlands and restorative agricultural practices.

 Forests Allow forests to regrow and sequester carbon	 Wetlands Restore coastal wetlands and ecosystems	 Agriculture Restorative practices and cover crop rotation
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US\$4.1T
financing gap in nature-based solutions by 2050

US\$8.1T
cumulative total investment needed in nature solutions



Market bubble risk: investor sentiment

Investors are actively targeting green investments, but there are concerns of a market bubble.

77%

of investors say many will find limited investment options because of a relatively small number of equities meeting their environmental criteria

66%

of investors say shortage of supply in green investments will lead to overpaying for green assets, creating the risk of a market bubble

“Whether the sustainability or green claims of companies are credible is a key issue driving concerns of a market bubble and regulators are making moves to deal with this problem.”

The EU’s Sustainable Finance Disclosure Regulation (SFDR), which came into force on 10 March 2021, is designed to introduce more transparency and categorise investment products into sustainable and non-sustainable.

Investor analysis should seek to understand whether an opportunity really is sustainable and viable in the long term – going beyond the stated claims and reporting of companies.

03

再生可能エネルギーへの資金調達と「ブラウンのグリーン化」

再生可能エネルギーと脱炭素産業に必要な資金調達は、市場バブルへの懸念を和らげる可能性があります。市場バブルの脅威を和らげる可能性のある2つの問題があります。

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01

第一に、再生可能エネルギーの目標を達成するために必要な資金の規模です。IEAの現行政策シナリオでは約7.7兆米ドルが投入されていますが、持続可能な開発シナリオでは12.9兆米ドルが必要です。推定5.2兆米ドルの追加投資が必要になります。

02

第二に、新興のグリーン技術は、ネットゼロに向けた競争の一部に過ぎません。多くの産業セクターの脱炭素化には巨額の資金が必要になるでしょう。グリーン産業への投資に加えて、ブラウン産業のグリーン化も重要になります。

その結果、現在排出集約型セクターに属する組織には、相当額の株式資本が流入することになるでしょう。ネットゼロへの移行を活用するための明確な戦略を示す企業は、投資家が資本を配分し、排出集約型セクターへの支援に伴うレピュテーションリスクの高まりを回避するための方法を確認できる可能性があります。

言い換えれば、グリーン産業への投資に加えて、ブラウン産業のグリーン化も重要になる可能性があるということです。投資家にとって、これはダイベストメントではなくエンゲージメントに重点を置き、企業と提携して炭素削減とエネルギー転換に取り組むことを意味するかもしれません。



Summary

Now more than ever, there is growing awareness among investors of all sizes that they should consider the climate crisis and energy transition when deploying capital. An increasing number of institutional investors are pursuing sustainability opportunities.

To play a leading role in financing the green recovery, investors should develop a long-term strategy that:

- Manages the risk of a market bubble through disciplined valuation and rigorous due diligence on green investments
- Overcomes current weaknesses and gaps in credible and consistent ESG data and disclosures from target companies
- Balances new green investment with active decarbonization of existing high-emission sectors – greening the brown